

Hong Kong Airport (Control of Obstructions) Ordinance

(Cap. 301)

Contents

Section		Page
	Part I	
	Preliminary	
1.	Short title	1-2
2.	Interpretation	1-2
	Part II	
	Control of Heights of Buildings and Lighting, and Provision of Aids to Air Navigation	
3.	Orders by Chief Executive in Council relating to heights of buildings	2-2
4.	No buildings to be erected contrary to orders under section 3	2-6
5.	Director-General of Civil Aviation may specify date for demolition or reduction in height of building	2-6
6.	Director-General of Civil Aviation may require marking and lights on buildings	2-6
7.	Secretary may order provision of marks, lights and beacons	2-8

Section		Page
8.	Restriction on use of occulting lights	2-8
9.	Power to prohibit lighting	2-10
10.	Director-General of Civil Aviation may prohibit certain lights exposed to sky	2-10
11.	Emergency extinguishment of lights exposed to sky	2-12
12.	Power to enter premises to extinguish lights	2-12
13.	Director of Buildings empowered to carry out works	2-12
14.	Powers of entry of Director of Buildings and Director-General of Civil Aviation	2-14
14A.	Removal of trees obstructing lights or beacons	2-16
15.	Closure orders in relation to buildings to be demolished or reduced in height	2-18
16.	Recovery of cost of works by Director of Buildings	2-24
17.	Payment by Government of cost of works	2-26
18.	Limitation of public liability	2-28
19.	Service of orders and notices	2-28
20.	Offences	2-30

Part III Compensation

21.	Right to compensation	3-2
-----	-----------------------	-----

Section		Page
22.	Passing of right to compensation in case of disposition of land	3-2
23.	Time and manner for making claims, and settlement thereof	3-4
24.	Rules for assessment of compensation	3-6
25.	Disputes to be determined by Lands Tribunal	3-10

To provide for the restriction and, where necessary, the reduction of heights of buildings in the interest of the safety of aircraft, for the control of lighting, for the erection or provision and the maintenance of aids to air navigation, for the assessment and payment of compensation in respect of damage suffered on account thereof, and for purposes connected with the matters aforesaid.

(Amended 11 of 1966 s. 2)

[7 June 1957]

(Format changes—E.R. 5 of 2020)

Part I

Preliminary

1. Short title

This Ordinance may be cited as the Hong Kong Airport (Control of Obstructions) Ordinance.

2. Interpretation

(1) In this Ordinance, unless the context otherwise requires—

building (建築物) includes the whole, or any part, of any building, arch, bridge, chimney, cookhouse, cowshed, dock, factory, garage, hangar, hoarding, latrine, lift, matshed, office, out-house, pier, shelter, shop, stable, stairs, wall, warehouse, wharf, or workshop, and any mast or pole or any pile driver, scaffolding, hoist or crane or other structure projecting skywards; *(Amended 77 of 1978 s. 2)*

building works (建築工程) includes any kind of building construction, site formation, drainage works, repairs,

maintenance, demolition, alteration, addition and every kind of building operation, and any lighting or marking required to be provided under the provisions of this Ordinance;

Hong Kong Airport (香港機場) means the Hong Kong International Airport at Kowloon peninsula and the airport built or to be built at and in the vicinity of Chek Lap Kok, Lantau, New Territories; (*Added 88 of 1994 s. 2*)

land (土地) includes all buildings thereon;

owner (擁有人) includes any person holding premises direct from the Government whether under lease, licence or otherwise, any mortgagee in possession and any person receiving the rent of any premises, solely or with another, on his own behalf or that of any person, or who would receive the same if such premises were let to a tenant, and where such owner as above defined cannot be found or ascertained or is absent from Hong Kong or is under disability, the agent of such owner; (*Amended 29 of 1998 s. 105; 61 of 1999 s. 3*)

Secretary (局長) means the Secretary for Development. (*Replaced L.N. 106 of 2002. Amended L.N. 130 of 2007*)

(2) Any reference in this Ordinance to the safety of aircraft means the safety of aircraft using or which will be using Hong Kong Airport. (*Amended 88 of 1994 s. 2*)

Part II

Control of Heights of Buildings and Lighting, and Provision of Aids to Air Navigation

3. Orders by Chief Executive in Council relating to heights of buildings

- (1) Where in the opinion of the Chief Executive in Council the safety of aircraft so requires, he may by order— (*Amended 61 of 1999 s. 3*)
- (a) prescribe areas within which all buildings are prohibited;
 - (b) (*Repealed 88 of 1994 s. 3*)
 - (c) require to be demolished any building erected within an area in which all buildings have been prohibited by an order under paragraph (a), or require to be reduced in height, or, where reduction in height is not feasible, to be demolished, any building which does not conform with an order under subsection (1AA). (*Amended 88 of 1994 s. 3*)
- (1AA) Where in his opinion the safety of aircraft so requires, the Secretary may, on the advice of the Director-General of Civil Aviation, by order prescribe areas within which no building shall exceed the height specified in the order. (*Added 88 of 1994 s. 3. Amended L.N. 326 of 2000*)
- (1A) An order under subsection (1)(a) or (1AA) may provide that, subject to such conditions as may be prescribed therein, it shall not apply to any particular area, or any particular building, within any area prescribed by the order. (*Added 11 of 1966 s. 3. Amended 88 of 1994 s. 3*)

- (2) Where an order is made under subsection (1)(a), it shall be published in the Gazette, and a copy thereof together with a plan of the prescribed area, signed by the Clerk to the Executive Council, shall be deposited at the Land Registry. *(Amended 8 of 1993 s. 2; 14 of 1994 s. 24; 88 of 1994 s. 3)*
- (2A) Where an order is made under subsection (1AA), it shall be published in the Gazette, and a copy together with a plan of the prescribed area, signed by the Secretary, shall be deposited at the Land Registry. *(Added 88 of 1994 s. 3)*
- (3) An order under subsection (1)(c) shall be served upon the owner of the premises affected, and may be registered at the Land Registry against the land affected by delivering to the said office a memorial thereof signed by the Clerk to the Executive Council and containing the full terms of such order. *(Amended 8 of 1993 s. 2; 14 of 1994 s. 24)*
- (3A) The Secretary may, on the advice of the Director-General of Civil Aviation, by order grant an exemption from the operation of an order made pursuant to subsection (1AA) subject to such terms and conditions required for or related to the safety of aircraft as he may impose. *(Added 88 of 1994 s. 3. Amended L.N. 326 of 2000)*
- (3B) An order made under subsection (3A) shall be published in the Gazette, and a copy together with a plan of the exempted area, signed by the Secretary, shall be deposited at the Land Registry. *(Added 88 of 1994 s. 3)*
- (4) The Director-General of Civil Aviation may, by notice in writing, grant— *(Amended L.N. 326 of 2000)*
- (a) for a period not exceeding 2 months which may be extended for such further periods of 2 months as he thinks fit; and
 - (b) upon such terms and conditions as he may in any case impose,

an exemption from the operation of an order made pursuant to subsection (1AA). (*Added 77 of 1978 s. 3*)

(*Amended 88 of 1994 s. 3*)

4. No buildings to be erected contrary to orders under section 3

No building shall be erected in any area in which buildings are prohibited, and, subject to section 3(3A) and (4), no building shall be erected above the prescribed height, contrary to any order under section 3(1)(a) or (1AA).

(*Amended 77 of 1978 s. 4; 88 of 1994 s. 4*)

5. Director-General of Civil Aviation may specify date for demolition or reduction in height of building

The Director-General of Civil Aviation after consultation with the Director of Buildings may, by notice in writing served on the owner of any building which is the subject of an order under section 3(1)(c), specify the date by which such building is to be demolished, or the height thereof is to be reduced, in compliance with such order, and specify the date by which the building works of such demolition or reduction in height shall be commenced.

(*Amended 4 of 1958 s. 3; L.N. 76 of 1982; L.N. 94 of 1986; L.N. 291 of 1993; L.N. 326 of 2000*)

6. Director-General of Civil Aviation may require marking and lights on buildings

- (1) Where in the opinion of the Director-General of Civil Aviation the safety of aircraft requires the marking of any building or the provision of warning or guiding lights thereon, he shall by notice in writing served upon the owner of the building inform him of the marking or lights required, and call upon him to elect in writing, within 14 days of the date of such notice, whether he desires the Government to provide

the marking or lights, or whether he desires to do so himself.
(*Amended L.N. 326 of 2000*)

- (2) If the owner desires the Government to provide the marking or lights, it shall be lawful for the Government to provide, and thereafter to maintain, the same.
- (3) If the owner desires to provide the marking or lights himself, he shall do so within such time and in such manner as the Director-General of Civil Aviation may by notice in writing require, and shall thereafter maintain such marking or lights in such manner as the Director may from time to time by notice in writing require. (*Amended L.N. 326 of 2000*)
- (4) Any reasonable expenses incurred by an owner in providing any such marking or lights or upon the maintenance of the same (including any expenses of illumination) shall be paid by the Government.

7. Secretary may order provision of marks, lights and beacons

- (1) Where in the opinion of the Secretary the safety of aircraft so requires, he may by order authorize the Director of Buildings to provide or erect, and thereafter to maintain, in any place or on any building such marks, warning or guiding lights and aircraft beacons as shall be specified in such order. (*Amended L.N. 76 of 1982; L.N. 94 of 1986; L.N. 291 of 1993; 88 of 1994 s. 5*)
- (2) Such order shall be served upon the owner, if any, of any place or building which is the subject of the order.

8. Restriction on use of occulting lights

- (1) Save with the written authority of the Director-General of Civil Aviation or under an exemption granted by him and published in the Gazette, no person shall, in Kowloon or New

Kowloon or any other area prescribed by order of the Chief Executive in Council published in the Gazette, expose to the sky or permit to be exposed to the sky any form of occulting light of any colour. (*Amended 4 of 1958 s. 4; 61 of 1999 s. 3; L.N. 326 of 2000*)

- (2) For the purposes of this section, the expression ***occulting light*** (隱顯燈光) includes any light which is cut off from view at regular or irregular intervals or which is visible suddenly or intermittently. (*Added 4 of 1958 s. 4*)
- (3) This section shall not apply to navigational or signal lights, or to any occulting light of an intensity of less than 200 cd. (*Added 4 of 1958 s. 4. Amended L.N. 83 of 1977*)

9. Power to prohibit lighting

Where in the opinion of the Chief Executive in Council the safety of aircraft so requires, he may by order prescribe areas within which no person shall expose to the sky or permit to be exposed to the sky any type of lighting specified in or by such order.

(Added 4 of 1958 s. 5. Amended 61 of 1999 s. 3)

10. Director-General of Civil Aviation may prohibit certain lights exposed to sky

- (1) Where in the opinion of the Director-General of Civil Aviation the safety of aircraft so requires, he may by notice in writing served upon the owner or occupier of any place or building prohibit the use of any light exposed to the sky.
- (2) Where any light is exposed to the sky in contravention of a notice under subsection (1), the Director-General of Civil Aviation may by notice in writing served upon any supplier of electricity or gas require the discontinuance of the electricity or gas supplied to any such light.

- (3) Any person aggrieved by any prohibition imposed under subsection (1) may appeal by way of petition to the Chief Executive in Council, but shall, pending the decision of such appeal, comply with the notice given pursuant to subsection (1). (*Amended 61 of 1999 s. 3*)

(Amended L.N. 326 of 2000)

11. Emergency extinguishment of lights exposed to sky

Notwithstanding that no notice has been given under section 10(1), where in the opinion of the Director-General of Civil Aviation the safety of aircraft requires that any light exposed to the sky should be immediately extinguished, he may require any supplier of electricity or gas immediately to discontinue for a period not exceeding 12 hours the supply of electricity or gas to such light, and if it is not practicable immediately to discontinue the supply to that light only, it shall be lawful for the supplier to discontinue the supply to other lighting to such extent as is necessary to effect the immediate extinguishment of that light.

(Amended L.N. 326 of 2000)

12. Power to enter premises to extinguish lights

Where any supplier of electricity or gas is required by notice under either section 10(2) or section 11 to discontinue the supply of electricity or gas to any light, it shall be lawful, for the purpose of giving effect to the requirement of such notice, for any servant or agent of such supplier to enter and where necessary, in the presence of a police officer, break into any building or place in which such light is exposed, and there to do all such work as is necessary to effect the discontinuance of the supply of electricity or gas to that light.

13. Director of Buildings empowered to carry out works

The Director of Buildings may, on application made to him by the

Director-General of Civil Aviation, carry out such building works as may be necessary— (*Amended L.N. 76 of 1982; L.N. 94 of 1986; L.N. 291 of 1993; L.N. 326 of 2000*)

- (a) for the demolition or reduction in height of any building erected in contravention of section 4;
- (b) for the demolition or reduction in height of any building which is required to be demolished or reduced in height by an order under section 3(1)(c), in any case—
 - (i) where the building works of such demolition or reduction have not been commenced by the date specified in a notice under section 5; (*Amended E.R. 5 of 2020*)
 - (ii) where such demolition or reduction has not been completed by the date specified in a notice under section 5; or
 - (iii) where the Director of Buildings is of opinion that such demolition or reduction is unlikely to be completed by the date specified in a notice under section 5; (*Replaced 4 of 1958 s. 6. Amended L.N. 76 of 1982; L.N. 94 of 1986; L.N. 291 of 1993*)
- (c) for the marking of any building or the provision of any light or the maintenance of any such marking or light where any person has not complied with a notice under section 6(3) requiring such works.

14. Powers of entry of Director of Buildings and Director-General of Civil Aviation

- (1) The Director of Buildings or any public officer authorized in writing by him in that behalf may, during the hours of day-light, enter and where necessary, in the presence of a police officer, break into any premises for the purpose of

ascertaining whether the provisions of this Ordinance or the requirements of any notice given thereunder have been or are being complied with, or for the purpose of carrying out or causing to be carried out any building works pursuant to the authority in that behalf conferred by section 7(1) or by section 13. (*Amended L.N. 76 of 1982; L.N. 94 of 1986; L.N. 291 of 1993*)

- (2) The Director-General of Civil Aviation or any public officer authorized in writing by him in that behalf may at any time enter and where necessary, in the presence of a police officer, break into any premises for the purpose of ascertaining whether the provisions of this Ordinance relating to marks, lights or beacons, or the requirements of any notice under this Ordinance relating thereto, have been or are being complied with. (*Amended L.N. 326 of 2000*)

14A. Removal of trees obstructing lights or beacons

- (1) Where in the opinion of the Director-General of Civil Aviation any tree, shrub, plant or vegetation obstructs or affects or is likely to obstruct or affect the proper operation of any warning light, guiding light, aircraft beacon or navigational or approach aids so as to impair the safety of aircraft, the Director shall, by notice in writing served upon the occupier of the land upon which such tree, shrub, plant or vegetation is situated, call upon him to fell the tree or remove the plant, shrub or vegetation or deal with the same in such other manner as will in the opinion of the Director remove the obstruction. (*Amended L.N. 326 of 2000*)
- (2) Any person who fails to comply with a notice under subsection (1) within 14 days of service of such notice commits an offence and is liable to a fine at level 1 and to imprisonment for 6 months. (*Amended E.R. 5 of 2020*)

- (3) Where a notice under subsection (1) is not complied with within 14 days of service thereof or where in the opinion of the Director-General of Civil Aviation the proper operation of any warning light, guiding light, aircraft beacon or navigational or approach aids requires the immediate felling of, removal of or dealing with any tree, shrub, plant or vegetation, the Director or any public officer authorized in writing by him in that behalf may at any time enter upon any land and may fell, remove or deal with in such manner as the Director may specify any such tree, shrub, plant or vegetation.
(Amended L.N. 326 of 2000)
- (4) Any reasonable expenses incurred by an occupier in complying with a notice under subsection (1) shall be paid by the Government.

(Added 77 of 1978 s. 5)

15. Closure orders in relation to buildings to be demolished or reduced in height

- (1) Where a building has to be demolished or reduced in height so that it may conform to the requirements of this Ordinance or any order made thereunder, and the owner of the building or the Director of Buildings, as the case may be, is about to undertake building works in order to effect such demolition or reduction in height, the owner or the Director may apply to a magistrate for a closure order in relation to that building or any part thereof, and the magistrate shall make such order if he is satisfied that notice has been given in accordance with the provisions of subsection (4), and that it is necessary or expedient to order the closure of the building or part thereof so that such works may be expeditiously and properly carried out. *(Amended L.N. 76 of 1982; L.N. 94 of 1986; L.N. 291 of 1993)*
- (2) A closure order under this section shall—

- (a) specify the building or part thereof to be closed;
(Amended E.R. 5 of 2020)
 - (b) order the closure of such building or part thereof under the direction of a police officer; and
 - (c) order—
 - (i) in the case of demolition, that the building be closed; or
 - (ii) in the case of reduction in height, that the building or part thereof remain closed until the Director of Buildings has given a certificate to the owner that the order is no longer required. *(Amended L.N. 76 of 1982; L.N. 94 of 1986; L.N. 291 of 1993)*
- (3) No person shall occupy a building or part of a building to which a closure order relates during the continuance in force of the order.
- (4) At least 7 days' notice of intention to apply for a closure order shall be given by the person making such application by posting the notice on a conspicuous part of the building to which it relates, and upon being so posted it shall be sufficient notice to all persons of such intention.
- (5) Such notice shall be in both the English and the Chinese languages and shall specify the building to which it relates and whether the same is to be demolished or reduced in height, and in the case of a reduction in height, the extent thereof, the premises to be closed and the estimated period of closure; and in addition, in the case of a reduction in height, such notice shall reproduce this section in full.
- (6) Any occupier who is evicted from a building under a closure order made to enable a reduction in height thereof to be effected shall, subject to the following provisions of this section, be entitled to re-enter and re-occupy the premises occupied by him immediately prior to his eviction, but this

subsection shall not be taken to preserve or revive any rights necessarily extinguished or curtailed by the carrying out of any building works undertaken to effect such reduction in height.

- (7) (a) Not later than 14 days after the making of a closure order in relation to the reduction in height of a building, any occupier whose rights will not be extinguished by any building works undertaken to effect such reduction may serve upon the owner notice of his intention to re-occupy, on the expiry of the closure order, the premises occupied by him at the date of the giving of notice under subsection (4).
- (b) Such notice of intention to re-occupy shall specify an address at which a notice under subsection (8) may be served.
- (c) Such notice of intention to re-occupy may be revoked in like manner by the occupier during the continuance in force of the closure order.
- (8) Within 3 days of the receipt of a certificate of the Director of Buildings given under subsection (2)(c)(ii), the owner of the building to which it relates shall serve notice of the expiry of the closure order upon every occupier who has given notice under subsection (7)(a), and has not revoked the same, and such notice of expiry shall be served by sending it by registered post to such occupier at the address specified in the notice given by him under subsection (7). (*Amended L.N. 76 of 1982; L.N. 94 of 1986; L.N. 291 of 1993*)
- (9) Any occupier who has given notice under subsection (7) and has not revoked the same, may, within 14 days of the date of service of the notice of expiry, re-enter and re-occupy the premises previously occupied by him to the extent that the same are still in existence, upon such terms and conditions relating to the premises as were in force at the date of the

closure order in so far as the same are still applicable, and, in the event of the value of the premises to the occupier having been diminished as a result of the carrying out of any such building works as are referred to in subsection (1), at such reduced rent as is reasonable having regard to all the circumstances, and in default of agreement between the parties as to the amount of such reduced rent, the amount shall be determined by arbitration in accordance with the provisions of the Arbitration Ordinance (Cap. 609). (*Amended 17 of 2010 s. 112*)

- (10) Where an occupier who has given notice under subsection (7) and has not revoked the same fails to exercise his right to re-enter within the period allowed by subsection (9), he shall have no further rights of occupation, and the person who would have been entitled to receive the rent from such occupier shall be entitled to recover from him a sum equal to 1 month's rent by action brought in the District Court.

16. Recovery of cost of works by Director of Buildings

- (1) Where the Director of Buildings carries out any building works pursuant to the authority in that behalf conferred by section 13(a), he may recover the cost thereof from the owner of the building on which such building works are carried out, and may certify under his hand the amount due and the names of the persons liable therefor, and may by such certificate apportion such cost among such persons. (*Amended L.N. 76 of 1982; L.N. 94 of 1986*)
- (2) Such cost may include supervision charges.
- (3) A copy of the certificate of the Director of Buildings shall be served upon each person affected thereby. (*Amended L.N. 76 of 1982; L.N. 94 of 1986*)

- (4) Interest at the rate of 10 per cent per annum from the expiry of 1 month from the date of such service shall be recoverable as part of such cost.
- (5) The payment of such cost by any person shall be without prejudice to his right to recover the same from any other person.
- (6) Without prejudice to any other remedy of the Director of Buildings for the recovery of such cost, the same may be recovered as a debt due to the Government. *(Replaced 13 of 1966 Schedule. Amended L.N. 76 of 1982; L.N. 94 of 1986; 61 of 1999 s. 3)*
- (7) The writ of summons in connexion with such action shall be taken to have been duly served if it appears, to the satisfaction of the court, that the writ was left at the defendant's residence or place of business, or in case the same is unknown, that it was left at the building in respect of which the claim is made.
- (8) A certificate under subsection (1) purporting to be under the hand of the Director of Buildings shall be prima facie evidence of the facts certified therein and of the signature of the Director of Buildings thereto. *(Amended L.N. 76 of 1982; L.N. 94 of 1986)*
- (9) Before the Director of Buildings commences to carry out any such building works as are referred to in subsection (1), he may register in the Land Registry against the land on which the works are to be carried out a notice of his intention to carry out such works, and if such a notice is registered the cost of the works and any interest thereon shall be and remain a first charge upon the said land until paid. *(Amended L.N. 76 of 1982; L.N. 94 of 1986; 8 of 1993 s. 2)*
(Amended L.N. 291 of 1993)

17. Payment by Government of cost of works

Where any person is required to carry out building works in order to comply with the provisions of this Ordinance, the Director of Buildings may, on application being made to him in writing by such person, enter into an agreement with that person for payment by the Government of the cost of the works: (*Amended L.N. 76 of 1982; L.N. 94 of 1986; L.N. 291 of 1993*)

Provided that this section shall not apply in the case of any building erected in contravention of section 4.

18. Limitation of public liability

- (1) No liability shall rest upon the Government or upon any public officer by reason of the fact that any building works are carried out in accordance with the provisions of this Ordinance.
- (2) No matter or thing done by the Director-General of Civil Aviation or the Director of Buildings or the Director of Lands or by any public officer acting under the direction of either of them or by any supplier of electricity or gas or by any servant or agent of such supplier shall, if it was done bona fide for the purpose of executing this Ordinance, subject them personally to any action, liability, claim or demand whatsoever. (*Amended L.N. 76 of 1982; L.N. 94 of 1986; L.N. 291 of 1993; L.N. 326 of 2000*)

19. Service of orders and notices

Wherever in this Ordinance provision is made for service upon any person of any order or notice, it shall, save where otherwise specifically provided, be sufficient service if a copy of such order or notice is—

- (a) delivered to the person upon whom it is to be served; (*Amended E.R. 5 of 2020*)

- (b) sent by registered post to the last known place of business or residence of such person; (*Amended E.R. 5 of 2020*)
- (c) left with an adult occupier of the premises to which the order or notice relates; or
- (d) posted upon a conspicuous part of such premises and published in the Gazette.

20. Offences

Any person who—

- (a) carries out any building works in contravention of the provisions of section 4;
- (b) fails to comply with a notice under section 6(3);
- (c) obscures, severs, breaks or otherwise tampers with any mark, lighting or structure provided or erected in pursuance of the provisions of this Ordinance;
- (d) contravenes the provisions of section 8;
- (e) fails to comply with a notice under section 10(1);
- (f) contravenes the provisions of section 15(3);
- (g) obstructs the Director-General of Civil Aviation, the Director of Buildings or the Director of Lands or any officer authorized by any of them in the execution of his duties; or (*Amended L.N. 76 of 1982; L.N. 94 of 1986; L.N. 291 of 1993; L.N. 326 of 2000*)
- (h) obstructs any servant or agent of a supplier of electricity or gas in the exercise of his powers under section 12,

commits an offence and shall be liable to a fine at level 6 and to imprisonment for 12 months and, in the cases of a contravention under paragraphs (a), (d) and (f), to a further fine of \$5,000 for each day on which the offence has continued and, in the cases of a failure under paragraphs (b) and (e), to a further fine of \$5,000 for each day on which the failure to comply with the notice has continued.

(Amended 88 of 1994 s. 6)

Part III

Compensation

21. Right to compensation

Where any person—

- (a) has an interest in land the value of which is diminished;
(Amended E.R. 5 of 2020)
- (b) sustains damage by loss of rent or by being disturbed in the enjoyment of any right in or over land; or *(Amended E.R. 5 of 2020)*
- (c) incurs reasonable expenses for the purpose of carrying out building works which are required to be carried out, (other than building works necessary for the demolition or reduction in height of any building erected in contravention of section 4),

in consequence of an order made under section 3, 7 or 9, or of the provision of any marking or lights under section 6, or of a notice given under section 10 such person shall be entitled to recover compensation: *(Amended 4 of 1958 s. 7)*

Provided that no person claiming compensation under paragraph (a) shall be so entitled where the diminution in value of his interest in land is less than one-tenth of the diminished value of such interest, but this proviso shall not operate to prevent any person from recovering compensation in respect of a diminution in value resulting from the carrying out of building works in order to comply with the provisions of this Ordinance.

22. Passing of right to compensation in case of disposition of land

The right to recover compensation in respect of a diminution in value of an interest in land shall be deemed to pass with such

interest upon any sale, gift, bequest, exchange, assignment, reassignment, release, partition, mortgage, charge or other transfer or disposition thereof unless the right to recover compensation is specifically excluded from passing by the terms of the instrument under which such interest passes.

23. Time and manner for making claims, and settlement thereof

- (1) A claim for compensation under this Ordinance shall be made in writing to the Director of Lands— (*Amended L.N. 76 of 1982; L.N. 94 of 1986*)
- (a) in the case of a diminution in value of an interest in land in consequence of an order made under section 3(1)(a) or (1AA), within 1 year of the date of such order; and (*Amended 88 of 1994 s. 7*)
 - (b) in any other case, not later than the expiry of 3 months from—
 - (i) the completion of any building works carried out in consequence of an order under section 3(1)(c) or of an order under section 9; (*Amended 4 of 1958 s. 8; E.R. 5 of 2020*)
 - (ii) the completion of the provision or erection of any marks, lights or beacons under section 6 or 7; or
 - (iii) the completion of any building works required to comply with a notice given under section 10(1): (*Amended 4 of 1958 s. 8*)

Provided that the Secretary may, in any particular case, extend the period for the making of claims. (*Amended 88 of 1994 s. 7*)

- (2) Upon a claim being received the Director of Lands shall forthwith assess, in accordance with the rules under section 24, the amount of any compensation which in his opinion is recoverable by the claimant, and shall thereupon notify the

claimant of the amount of compensation, if any, so assessed.
(*Amended L.N. 76 of 1982; L.N. 94 of 1986*)

- (3) If the claimant agrees in writing that he accepts such amount in full settlement of his claim, that amount may be paid to the claimant:

Provided that in the case of diminution in value of an interest in land, he shall first satisfy the Director of Lands of his title to the compensation payable. (*Amended 8 of 1993 s. 3*)

(*Amended L.N. 291 of 1993*)

24. Rules for assessment of compensation

In assessing compensation the Director of Lands and, in the case of any dispute, the Lands Tribunal, shall act in accordance with the following rules— (*Amended 62 of 1974 s. 16; L.N. 76 of 1982; L.N. 94 of 1986; L.N. 291 of 1993*)

- (a) The value of any interest in land shall, subject as hereinafter provided, be taken to be the amount which the interest if sold in the open market by a willing seller might be expected to realize:

Provided always that the Director of Lands or the Lands Tribunal, as the case may be, shall be entitled to consider all returns and assessments for taxation or rating made or acquiesced in by the claimant. (*Amended 62 of 1974 s. 16; L.N. 76 of 1982; L.N. 94 of 1986; L.N. 291 of 1993*)

- (b) No allowance shall be made in respect of the compulsory nature of any prohibition or restriction imposed, or building works required, by or under this Ordinance.
- (c) Where the value of the land is increased by reason of the use thereof, or of any premises thereon, in a manner which could be restrained by any court, or is contrary

to law, or, save where such use has been expressly permitted by the Government, is not in accordance with the terms of the Government Lease, or other tenancy from the Government, under which the land is held, or is detrimental to the health of the occupiers of the premises or to the public health, the amount of that increase shall not be taken into account. (*Amended 29 of 1998 s. 105*)

- (d) No allowance shall be made in respect of any increase in building heights permitted since 16 September 1955, (being the date of publication of Government Notification No. 1026 of 1955, in which warning was given of proposed restrictions on heights of buildings) or of the possible use, in relation to heights prescribed as at the said day, of the powers of the Governor in Council under sections 87 and 88 of the Buildings Ordinance 1935 (18 of 1935).
- (e) No allowance shall be made in respect of any expectancy or probability of the grant or renewal or continuance by the Government or by any person or by virtue solely of Part I, Part II, Part IV or Part V of the Landlord and Tenant (Consolidation) Ordinance (Cap. 7) of any lease, tenancy, licence or permit whatsoever: (*Amended 39 of 1979 s. 26; 76 of 1981 s. 60; 29 of 1998 s. 105*)

Provided that this rule shall not apply to any case where the grant or renewal or continuance by the Government or other person could have been enforced as of right.

- (f) Interest at a rate not exceeding 4 per cent per annum may be allowed on any money expended by the claimant for which compensation is allowed:

Provided that where the claimant has borrowed money for such expenditure and satisfies the Director of Lands

or the Lands Tribunal, as the case may be, that he had good and sufficient reason for not availing himself of the provisions of section 17, and that the lowest rate of interest at which he could borrow the money was in excess of 4 per cent per annum, such higher rate of interest may be allowed, but in no case shall the rate exceed 10 per cent per annum. (*Amended 62 of 1974 s. 16; L.N. 76 of 1982; L.N. 94 of 1986; L.N. 63 of 1992; L.N. 291 of 1993*)

- (g) Interest at a rate not exceeding 4 per cent per annum may be allowed on any part of the compensation allowed for any diminution in value of an interest in land, and such interest may be allowed from the date of such diminution, being a date not earlier than the date of publication of the order made under section 3 which resulted in such diminution.
- (h) In determining whether any interest shall be allowed, regard shall be had to all the circumstances of the case, including any delays occasioned by the claimant.

25. Disputes to be determined by Lands Tribunal

- (1) Where any dispute arises as to—
 - (a) whether compensation is payable under this Ordinance; (*Amended E.R. 5 of 2020*)
 - (b) the amount of any such compensation; or
 - (c) the person to whom it is payable,the dispute shall be referred to and determined by the Lands Tribunal.
- (2) For the purposes of this section, a dispute shall be deemed to have arisen where a claimant or the Director of Lands, as the case may be, has served notice of intention to refer the dispute to the Lands Tribunal upon all other parties to the

dispute, and the party who has served notice as aforesaid shall, within 2 months thereafter, refer the dispute to the Lands Tribunal by notice served upon the registrar of the Lands Tribunal giving particulars of the matter in dispute between the parties, and a copy of the last-mentioned notice shall, within the said period, be served upon all other parties.
(Amended L.N. 76 of 1982; L.N. 94 of 1986; L.N. 291 of 1993)

(Amended 62 of 1974 s. 16; 21 of 1977 s. 6)